**BINDING ARBITRATION AGREEMENT**

OWNER/LESSOR Name: **Time Motor Sales, Inc. 3800 E. Lake Street, Minneapolis, MN 55406**

LESSEE Name: _____ CO-LESSEE Name: _____

DESCRIPTION OF LEASED MOTOR VEHICLE: Year _____ Make _____ Model _____ VIN# _____

By executing this Binding Arbitration Agreement ("Agreement"), Lessee(s) and Owner/Lessor, including anyone to whom Owner/Lessor assigns this Agreement (collectively referred to as the "Parties") hereby agree, except as otherwise provided in this Agreement, to resolve by binding arbitration and not by a court action any controversy, claim or dispute of whatever nature between them, whether based upon contract, tort, federal, state or local statute or regulation or other common law doctrine (a "Dispute") arising out of or relating to: (1) the lease by Lessee(s) or condition of the above-referenced Vehicle; (2) any products and services purchased in conjunction with the Vehicle; (3) any credit application submitted or financing obtained in connection with the above-referenced Vehicle; (4) any resulting transaction, relationship and/or agreement between the Parties and any documents incorporated therein by reference and/or the breach, termination, enforceability, scope or validity thereof (including the interpretation and scope of this Agreement and the arbitrability of any Dispute); and/or (5) any alleged promises, representations and/or warranties made to or relied upon by the Parties, and any alleged unfair, deceptive, or unconscionable acts or practices.

Notwithstanding any other provisions in this Agreement, the Parties agree that they retain their right to exercise any self-help remedies such as repossession or provisional remedies available by law or pursuant to an agreement between them. Both Parties also retain the right to seek remedies in small claims court or equivalent state court for Disputes that are properly within that court's jurisdiction. Until a Party entitled to do so demands arbitration, any Party may proceed with such other rights and remedies and neither Party waives the right to require arbitration under this Agreement by exercising such other rights and remedies or by initially agreeing to litigate a claim in court. In addition, if a Dispute originally brought in a small claims court (or equivalent state court) is transferred or appealed to a higher trial court or if a new Dispute is asserted after the initial filing of such litigation, either Party shall have the right to require arbitration under this Agreement.

This Agreement evidences a transaction involving interstate commerce. The Parties acknowledge and agree that the Federal Arbitration Act (9 U.S.C. §1 et seq.) ("FAA") and not any state law shall govern any arbitration under this Agreement, and that any Dispute between them shall be arbitrated according to the rules of the **American Arbitration Association** (the "AAA") (1-800-778-7879), 1633 Broadway, Floor 10, New York, New York 10019 (www.adr.org). A copy of the Arbitration Rules may be obtained by visiting the website indicated or by contacting the AAA directly. The Rules in effect at the time the demand for arbitration is made will govern.

"Lessee(s) claims" shall be arbitrated according to the AAA's Consumer Due Process Protocol, its Commercial Arbitration Rules, and its Consumer-Related Disputes Supplementary Procedures and fee schedule. If the Owner/Lessor initiates the arbitration proceedings, it will pay the entire cost of the initial filing fees. If the Lessee(s) initiates the arbitration proceedings, the Lessee(s) will pay the initial filing and administrative fees specified by the Arbitration Rules up to the amount of $225. The Owner/Lessor will, upon Lessee(s)'s request, pay that portion of the initial filing and administrative fees that exceeds this amount up to a maximum of $500. Each Party shall be responsible for its own attorney, expert and other witness fees and other costs of arbitration.

To initiate an arbitration proceeding, the demanding Party must notify the other Party, in writing, that it wishes to arbitrate a Dispute. The "demand" for arbitration must briefly state the basis for the Dispute, list the names and addresses of the Parties involved, and specify the amount of monetary damages involved and/or any other remedy sought. The arbitrator(s) shall be attorneys or retired judges and shall be selected according to the applicable Arbitration Rules. Both Parties agree that the arbitration proceedings shall take place in the county and state where the Owner/Lessor is located and the transaction occurred. They further consent to the jurisdiction of the courts of said county and state for purposes of enforcing this Agreement and the decision of the arbitrator(s).

The arbitrator(s) shall apply and be bound by the governing state and federal law when making any decision and award and shall have no authority to render an award that is inconsistent with applicable law. The arbitrator(s) shall resolve all discovery disputes. Either Party may demand, at any time, a written decision from the arbitrator(s) setting forth the findings of fact and/or conclusions of law and further agree that the arbitration proceedings and the decision of the arbitrator(s) shall be open to the public, even if the Rules selected provide otherwise. Judgment on the award rendered by the arbitrator(s) may be entered in any court that has jurisdiction. **Nothing in this Agreement shall be interpreted as limiting or precluding the arbitrator(s) from awarding monetary damages (provided they don't exceed actual compensatory damages) or any other relief provided for by law. Neither party is precluded from filing a complaint with the Office of the Attorney General of the** Owner/Lessor**'s state or from participating in a mediation program administered by the Attorney General or Better Business Bureau, but the Parties agree that by entering into this Agreement, they are waiving their right to a court or jury trial and their right to bring or participate in any class action or multi-plaintiff action in court or through arbitration**. Once one of the Parties has demanded arbitration, binding arbitration is the exclusive method for resolving any and all Disputes between them. The decision of the arbitrator(s) shall be final and binding, except for any right of appeal provided by the FAA and the Arbitration Rules that governed the original arbitration proceedings. The cost of appeal shall be borne by the appealing Party.

If any term of this Agreement conflicts with the terms of any other agreement between the Parties, the terms of this Agreement shall prevail. If any part of this Agreement shall be declared unenforceable for any reason, the remainder of the Agreement shall remain enforceable. BY SIGNING BELOW, CUSTOMER ACKNOWLEDGES THAT HE OR SHE HAS READ THIS AGREEMENT AND AGREES TO BE BOUND BY THE TERMS AND CONDITIONS OF THIS AGREEMENT. THIS AGREEMENT IS INCORPORATED BY REFERENCE INTO THE LEASE AGREEMENT BETWEEN THE PARTIES. IT MAY NOT BE MODIFIED OR AMENDED EXCEPT BY A SEPARATE WRITTEN AGREEMENT SIGNED BY CUSTOMER(S) AND AN AUTHORIZED OWNER/LESSOR REPRESENTATIVE.

LESSEE Signature

OWNER/LESSOR Representative Signature

**N/A**

CO- LESSEE Signature

Execution Date


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